

Scoring California's Proposition 40 billionaire tax: one model for the static, migration, and valuation assumptions

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Proposition 40, on California's November 3, 2026 ballot, would impose a one-time tax of 5 percent of the entire net worth of residents (as of January 1, 2026) worth \$1 billion or more, valued on December 31, 2026. Public estimates of its fiscal effect run from roughly \$100 billion in revenue to a negative net present value once future California income tax losses are counted. This paper documents a PolicyEngine calculator that scores the measure person by person from current Forbes data and exposes each contested assumption as a setting inside one model, so that the Berkeley and Hoover estimates become two parameterizations of the same calculation. The analysis has two stages. The first defines the taxable base and computes one-time receipts. The second optionally adds future California income tax losses, which requires separate assumptions about which departures are legally effective and which are attributable to the tax. On the September 18, 2026 Forbes snapshot, the baseline covers 269 people and yields \$120.9 billion of one-time revenue. Treating every documented pre-2026 departure and contested residency claim as effective removes \$30.7 billion, leaving \$90.2 billion. Adding the present value of those movers' California income tax under a 2 percent income yield and a 3 percent real discount rate reduces the net present value to \$11.1 billion; the income tax assumption, which published estimates place between \$0.15 billion and \$3.1 billion a year, decides the sign. Every figure in this paper is computed by the calculator's code from a dated snapshot.

Introduction

California's Proposition 40, the 2026 Billionaire Tax Act, has produced one of the widest gaps in recent state tax scoring. Galle et al. (2025, 2026a) report a roughly \$100 billion static score using Forbes data and a 10 percent haircut for avoidance or evasion. Rauh et al. build a person-level base, adjust the residency roster, model departures, and estimate that the policy may have negative net present value once foregone California income tax is counted (Rauh et al. 2026). The Legislative Analyst's Office expects revenue in the "tens of billions of dollars spread over several years" and a "possible ongoing decrease of less than \$1 billion per year" in income tax (Legislative Analyst's Office 2026).

This paper documents a public calculator built at PolicyEngine (PolicyEngine 2026). The calculator is one model with its own baseline: the statutory base applied person by person, one residency standard applied to everyone, and receipts and losses dated and discounted on the same clock. The assumptions behind each published estimate are settings inside that model: the billionaire base, contested residency claims, directly held real estate, observed and modeled departures, California income tax exposure, payment timing, growth, and discounting.

The paper’s argument is narrow. The main disagreement is not about arithmetic inside a shared model. It is about a short list of modeling choices. A useful public model should therefore expose those choices directly rather than hide them behind a single headline number.

The measure and existing estimates

The measure qualified for the November 3, 2026 ballot as Proposition 40 (California Secretary of State 2026). It fixes residency on January 1, 2026 and values net worth on December 31, 2026 (California Department of Justice 2026). The tax is 5 percent of the entire net worth of an individual worth \$1 billion or more; for net worth below \$1.1 billion the rate falls by 0.1 percentage point for each \$2 million of shortfall, reaching zero at \$1.0 billion (Revenue and Taxation Code section 50301(b) as proposed). Real property held directly or through a revocable trust is excluded from net worth; real estate held through a business is not. The tax is due with the 2026 return, in 2027, either in full or in five annual installments with a 7.5 percent nondeductible deferral charge on the unpaid balance. Receipts go to a reserve fund that is legally separate from the General Fund. The Legislative Analyst notes that if Proposition 41 or 42, on the same ballot, receives more yes votes than Proposition 40, then Proposition 40 “could be stopped from becoming law even if it gets yes votes from a majority of voters”, because a court could find that the measures conflict (Legislative Analyst’s Office 2026).

The Berkeley estimate takes the broadest and simplest approach. It uses 204 California billionaires from the October 17, 2025 Forbes list, reports \$2.19 trillion of wealth, multiplies by 5 percent, and applies a 10 percent haircut to reach a roughly \$100 billion figure in Galle et al. (2025). That is a static revenue score. It does not separately model departures or future California income tax losses. The authors’ July 2026 update removes Larry Ellison as very likely a Florida resident, adds 24 California residents who are not US citizens and whom Forbes does not place in a state, and reaches \$104 billion on a \$2,307 billion base (Galle et al. 2026a). Boll, Saez and Zucman (2026) extend that work: they estimate that California billionaires pay about \$3 billion a year in state income tax, score the measure at \$89 billion to \$128 billion across four scenarios, and put the annual income tax loss from mobility at \$0.15 billion to \$0.56 billion.

Rauh et al. construct a narrower and more behaviorally responsive base (Rauh et al. 2026). Their paper adjusts the Forbes residency roster, adds an omitted California billionaire, estimates directly held real estate, and treats announced departures as evidence of migration response. They report a \$94.2 billion no-behavior baseline, a \$67.5 billion score after six announced departures, and a

preferred revenue range of roughly \$35 billion to \$46 billion once additional migration response is included. The paper’s Monte Carlo exercise yields a mean net present value of -\$24.7 billion. Their literature-implied calibration applies a semi-elasticity of 10.32 per percentage point, which Walczak (2026) and Boll, Saez and Zucman (2026) both trace to Brülhart et al.’s Swiss estimate for a permanent annual wealth tax, to the measure’s 5 percentage points, for a 51.6 percent loss of the base; the authors themselves call a semi-elasticity of 12 to 13 “plausible and conservative” for a one-time tax that an interstate move avoids. Galle et al. (2026b) object that this counts a permanent behavioral response against one-time revenue; Rauh and Jaros (2026) reply that taxpayers respond to the expected future tax regime, of which a first levy is evidence. Walczak estimates an ongoing loss of \$3.5 billion to \$4.5 billion a year in state revenue, of which \$2.5 billion to \$3.1 billion is income tax; the rest is sales tax and economic spillovers.

Galle et al. argue, in the expert report and in their response to Rauh et al. (2026a, 2026b), that most publicly discussed billionaire moves should not be treated as legally effective changes in California domicile. They contend that California residency is determined by a totality-of-ties analysis weighing family, business, political, and social connections, that self-reported relocations receive little weight in that analysis, and that the one-time nature of the tax sharply limits the incentive to move. That position relies on California’s fact-intensive residency doctrine and on legal and economic scholarship that treats tax-induced physical migration as limited relative to paper income shifting (Office of Tax Appeals, State of California 2021; Galle, Gamage, and Shanske 2025).

A separate concern is valuation. Forbes wealth is a public estimate, not a tax filing. If reported values to the California Franchise Tax Board come in below public Forbes values, or if market prices move materially before the valuation date, both static and behavioral scores can shift even before any migration response is added.

PolicyEngine’s scoring framework

The calculator is easier to understand when broken into two stages rather than treated as one combined fiscal estimate.

The first stage defines the taxable wealth base and applies the statutory tax rules to that base. This yields a one-time wealth tax score.

The second stage optionally adds future California personal income tax losses. That stage requires extra judgments that are not needed for the wealth tax score alone: which departures are legally effective, which departures occur early enough to matter for the one-time tax, and what share of observed or modeled migration should be attributed to the tax itself.

The tax base

The measure taxes people who were California residents on January 1, 2026 on their net worth on December 31, 2026. The calculator therefore keeps two lists apart. The residency roster is the set of people Forbes placed in California on January 1, 2026. The valuation is the latest Forbes estimate for each of them, wherever Forbes places them now. Six roster members Forbes now places in another state keep a current valuation and stay in the base. Nine roster members Forbes no longer lists anywhere, worth \$24 billion when last listed, are carried at the last value Forbes published for them: Forbes drops people for several reasons, death among them, and three of the nine were last listed well above \$1 billion, so absence from the list says nothing about net worth. People on Forbes’s California list today who were not on its January 1 list are added, with their January 1 residency assumed; on the September 18, 2026 snapshot there are 56 people in this group holding \$264 billion. The join knows list membership and nothing else. Most of them first appear with Forbes’s annual list in March 2026, and the request that fetched the January 1 list clipped it near \$1.2 billion, so the group mixes people who crossed the threshold during 2026 with people who were billionaires and residents all along. Five people on the current California list are under \$1 billion once directly held real estate is removed and owe nothing. Names are joined on a normalized key, because Forbes adds and drops “& family” from display names.

One roster member is excluded from every base. Forbes lists Larry Ellison in Manalapan, Florida, and both Galle et al. (2026a) and Rauh et al. (2026) now exclude him. A second person Rauh et al. add to their base, David Sacks, is not on the Forbes list at all and so is outside a Forbes-based roster; his reported departure is the sixth in their Table 6, which is why five of the six are offered as adjustments below.

The baseline keeps everyone else on the roster. Eight documented claims that a roster member was not a California resident on January 1, 2026 are offered as individual adjustments, each shown with its evidence and source: two contested residency classifications from Rauh et al., and six reported departures before January 1, five from Rauh et al.’s Table 6 plus Travis Kalanick, who has said on the record that he moved to Texas on December 18, 2025. California domicile turns on a closest-connection test, and none of these claims has been tested. Galle et al. (2026b) argue that few of these people are likely to have taken the steps a change of residency requires as a matter of law; Rauh et al. treat all of theirs as effective. The calculator takes no position beyond the baseline and reports what each one is worth.

Forbes leaves the state blank for most people who are not US citizens, so the 24 such California residents that Galle et al. count, holding about \$150 billion, are absent from this base.

Real estate exclusion and phase-in

The calculator applies the initiative text person by person. Directly held real estate is excluded before the phase-in is computed. For billionaires whose holdings are known in the Rauh dataset, the model uses those name-level values. For missing cases, it imputes directly held real estate at

0.64 percent of net worth, following the median-share approach described by Rauh et al. (Rauh et al. 2026).

Both provisions are small in dollars today. Eight people on the September 18, 2026 roster fall between \$1.0 billion and \$1.1 billion, so the rate ramp costs \$0.28 billion against a flat 5 percent, and the real estate exclusion as measured is worth \$0.45 billion. The measured exclusion is a lower bound: the underlying data record personal residences, and several fortunes built on real estate carry a zero. The person-level structure matters for a different reason. Residency claims, valuation, and income tax exposure all attach to individuals, and four people hold 40 percent of the base.

Behavioral erosion, migration, and timing

The model separates two channels that are often blurred in public debate.

The first is non-migration erosion of the wealth tax base. This is a reduced-form haircut that lowers one-time wealth tax collections but does not generate future California income tax loss.

The second is migration. Here timing matters. A clean implementation needs to distinguish at least four cases: announced pre-January 1 departures, unannounced pre-January 1 departures, post-January 1 but pre-vote departures whose effect on wealth-tax liability depends on retroactivity litigation, and later departures that can affect future California income tax without changing the one-time wealth tax. The calculator separates the first three: announced pre-January 1 departures as named adjustments, unannounced ones as a modeled share or semi-elasticity, and later departures as an income-tax-only effect. It does not model the retroactivity case; a post-January 1 mover always owes the wealth tax.

Additional modeled migration can be entered either as a direct share of the remaining base or via a migration semi-elasticity. In the second form the calculator solves for the share of the remaining base at which observed plus modeled departures equal the finite-change mapping $1 - \exp(-\epsilon \times \tau)$, so users can compare the paper's linearized share-loss framing with the exact one.

A semi-elasticity estimated on a permanent annual wealth tax does not map directly onto a one-time levy. A one-time 5 percent tax has the same present value as a permanent annual tax of 5 percent times the discount rate, or 0.075 to 0.225 percentage points a year at real rates of 1.5 to 4.5 percent; at a semi-elasticity of 10.32 that implies a base loss of 0.8 to 2.3 percent rather than 51.6 percent. The larger figure follows if taxpayers expect the levy to recur at the full rate indefinitely. Expected recurrence is therefore the parameter in dispute, and the calculator's migration input should be read as a statement about it.

This distinction is central to interpreting the Berkeley and Hoover estimates. The Berkeley score embeds a reduced-form haircut in a static wealth tax estimate. Rauh et al. model behavioral response primarily through migration, which simultaneously lowers wealth tax collections and raises the present value of lost California income taxes.

California income tax loss

The current calculator maps California income tax loss through PolicyEngine’s California income tax model rather than directly reproducing Rauh’s Franchise Tax Board-based estimate. Annual California-taxable income is modeled as a share of taxed wealth, and California income tax is then estimated from a precomputed lookup at billionaire-scale incomes.

This is an explicit methodological choice, not a replication claim. Rauh et al. estimate a \$3.3 billion to \$5.8 billion annual California personal income tax contribution from the relevant billionaire cohort using a Pareto-tail fit to Franchise Tax Board data, and back out an implied income yield on wealth of 1.3 to 2.3 percent (Rauh et al. 2026). The PolicyEngine implementation instead uses a structural income-to-tax mapping. The benefit is consistency across scenarios. The cost is that the Hoover assumption set in the calculator is best understood as Rauh-calibrated rather than as a direct FTB-data implementation. The default income yield of 2 percent sits inside Rauh et al.’s implied range, but this roster is larger than theirs: at 2 percent the baseline cohort pays \$6.4 billion a year, above their \$3.3 billion to \$5.8 billion and about double the \$3 billion a year that Boll, Saez and Zucman (2026) measure for 2019 to 2025 (\$4.3 billion in 2025). Boll, Saez and Zucman do not report an income yield. They report California income tax of about 0.2 percent of wealth for the group and 0.07 percent for the top four, which at the 13.3 percent top rate imply yields near 1.5 and 0.5 percent, and one direct ratio: fiscal income equal to 0.38 percent of public stock wealth for Page, Brin, and Zuckerberg, whose wealth is mostly unrealized gains and who account for most of the wealth in the reported departures. A single yield therefore overstates the income tax at stake from the largest movers.

More importantly, any California income tax module embeds a causality assumption. Once a departure is included in the PIT-loss calculation, the calculator is effectively attributing that future income tax loss to the tax episode. That is a much stronger claim than simply observing that a billionaire left the state. The calculator therefore presents California income tax effects as an optional second stage after the wealth tax base is defined, with its own settings for timing, legal effectiveness, and causal attribution.

Discounting and payment timing

Cash flows are indexed in years from 2026, the valuation year. The tax is due with the 2026 return, and the measure contemplates estimated payments in April 2027 and final payments in October 2027, so the first receipt arrives in year one; the first lost income tax return is filed in the same year. With stage two off, the calculator reports nominal receipts, as a budget table would. With stage two on, both legs move to present value as of 2026.

The calculator separates nominal wealth growth from the real discount rate and converts nominal growth into real growth using a 2.5 percent inflation assumption, so users can compare their implied spread with Rauh et al.’s 1.5 percent to 4.5 percent range.

Installments carry a 7.5 percent charge on the unpaid balance. Per \$100 of liability they return \$115 in nominal receipts, and because the charge exceeds any plausible discount rate they are worth more to the state in present value than the lump sum.

What the calculator shows

All figures use the Forbes snapshot for September 18, 2026 and are written by `scripts/paper_numbers.mjs`; a test fails if any figure in this text differs from what the code computes.

The baseline covers 269 people with combined net worth of \$2,434 billion and yields \$120.9 billion of one-time revenue, or \$108.8 billion after a 10 percent erosion haircut of the kind Galle et al. apply.

Applying all eight residency adjustments removes \$30.7 billion, leaving \$90.2 billion from 261 people. Two people, Larry Page and Sergey Brin, account for most of that difference.

Stage two, on the adjusted base: with a 2 percent income yield, full attribution of the movers' income tax to the measure, a 3 percent real discount rate, no growth, no return migration, and a perpetual horizon, the movers' California income tax is \$2.3 billion a year. Receipts are worth \$87.6 billion in present value and the lost income tax \$76.5 billion, for a net present value of \$11.1 billion. At the Legislative Analyst's ceiling of \$1 billion a year the same base nets \$54.3 billion; at Walczak's \$3.1 billion of income tax it is -\$15.4 billion. Within this model the income tax assumption decides the sign.

The Berkeley and Hoover starting points in the calculator apply those papers' assumptions to this roster. They do not reproduce the papers' rosters: Galle et al.'s includes non-citizen residents that Forbes does not place in a state, and Rauh et al.'s is fixed at the 2025 Forbes list, which the calculator holds as its October 17, 2025 snapshot.

Valuation remains the largest open issue

The largest remaining uncertainty may be the gap between public Forbes wealth and the values that would actually be reported and defended for tax purposes. Forbes wealth is fast-moving and intentionally approximate (Forbes 2012). Tax reporting is slower, more adversarial, and shaped by different incentives. If tax-reported values are systematically lower than Forbes values, then both the Berkeley-style and PolicyEngine static scores are too high before migration is considered.

Market movement between a public snapshot and December 31, 2026 adds a second valuation risk. For fortunes concentrated in public stock, ordinary price changes can move the base materially without any legal avoidance or migration. Future versions of the calculator should separate that valuation wedge from the migration question.

Limitations and extensions

First, several provisions of the measure are not modeled: optional deferral accounts for taxpayers whose tax exceeds their publicly traded assets, which defer tax without interest until assets are distributed; the alternative apportionment petition with its 25 percent floor; the presumptive valuation of private businesses at book value plus 7.5 times average profits; limits on deductible debt; aggregation of spouses; the flat 5 percent rate on certain trusts; and the exemption of qualified pensions and retirement accounts, Roth accounts up to \$10 million, nonqualified deferred compensation, and tangible personal property held outside California, which are negligible at Forbes scale but unmeasured. The first of these changes the timing of receipts from founders of private companies.

Second, the base omits California residents who are not US citizens, because Forbes does not place them in a state. It also omits anyone the January 1, 2026 list did not reach, since the request that fetched it clipped the list near \$1.2 billion, unless Forbes lists them in California today; and it carries roster members Forbes has dropped at their last published value, which is a guess in both directions.

Third, the real estate data record personal residences, so the exclusion is a lower bound.

Fourth, the calculator does not separate a valuation wedge between Forbes estimates and values reported to the Franchise Tax Board, in either direction, from the erosion haircut, and it holds wealth at the snapshot value unless the user sets a growth rate to December 31, 2026.

Fifth, a single income yield is applied to everyone, which overstates the income tax at stake from founders whose wealth is unrealized.

Sixth, the headline nets reserve fund receipts against General Fund income tax. The measure makes those funds legally separate, and only the income tax side enters the state's school funding guarantee.

Seventh, the model does not forecast the outcome of Propositions 41 and 42, the validation action the measure provides for, or later litigation.

Conclusion

Proposition 40 should not be summarized by a single number without showing the assumptions underneath it. Reasonable choices about the billionaire base, contested residency cases, directly held real estate, migration, income tax exposure, valuation, and discounting are enough to move the estimate from a roughly \$100 billion static score to a much smaller figure and, in some scenarios, to a negative net present value.

A transparent calculator is useful because it makes those choices visible. The next stage of work should focus less on replacing one opaque point estimate with another and more on improving

measurement of the valuation base, the contested residency base, and the California income tax exposure of the affected cohort, while separating the one-time wealth tax score from the more speculative question of later California income tax effects.

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